IB Economics - Topic 3.1: Teacher and AI Grading Guide

Measuring Economic Activity and Its Variations | Questions 1-50

Scope and assessment status

Each original paired question has (a) 10 marks and (b) 15 marks. All 50 questions cover SL and HL content. Difficulty: 10 Easy, 25 Medium, 15 Hard pairs, distributed through the bank. Level and difficulty are independent.

National income accounts, nominal and real GDP/GNI, per capita and PPP comparisons, business cycles and well-being indicators. All specified calculations and diagrams here are shared SL/HL.

The uploaded Economics for the IB Diploma textbook (second edition, 2012) was used for underlying explanations and terminology. Its older syllabus sequence does not set the limits of this current Topic 3.1.

These are original adapted Paper 1-style practice questions, not official IB examination or marking material. The question bank revisits syllabus mechanisms through distinct explanatory and evaluative tasks; the pairs are alternatives for practice, not separate official learning outcomes.

Coverage blueprint

Circular flow: 10 pairs

Accounting approaches: 8 pairs

GDP GNI: 7 pairs

Prices and real output: 5 pairs

Per capita PPP: 5 pairs

Business cycle: 6 pairs

Well-being: 6 pairs

Alternative indices: 3 pairs

Marking principles

Use best-fit assessment for each part, not a fixed marks-per-keyword checklist. Credit accurate alternatives addressing the task. Do not require every example or qualification below.

Part (a): 10 marks

Practice bands: 0; 1-2 limited; 3-4 mainly descriptive; 5-6 partial explanation; 7-8 clear and accurate causal analysis; 9-10 fully developed explanation with any required diagram or calculation. These abbreviated bands are not official IB descriptors.

Part (b): 15 marks

Practice bands: 0; 1-3 very limited; 4-6 superficial; 7-9 developed but weakly balanced; 10-12 balanced analysis and evaluation; 13-15 sustained, applied evaluation and supported judgment. A named case alone is not developed application.

Diagram and AI grading

Require diagrams when expressly requested and accept an economically equivalent correctly labelled representation. Verify axes, initial and final equilibria and the stated causal shift. In numerical questions, verify method, units and interpretation; allow correct alternative calculations. Do not award a correct final number after an invalid method without examining the work.

Record separate marks for (a) and (b), band evidence, diagram or numerical features if relevant, economic misconceptions, quality of real-world application, and one actionable improvement per part. If a student drawing is unclear, flag the uncertainty rather than assuming correctness.

Question 1

Easy | SL/HL | 25 marks

Topic 3.1: Circular flow

(a) [10] Using a circular-flow diagram, explain the exchange of factors and goods between households and firms.

(b) [15] Using real-world examples, discuss whether a simple two-sector circular flow can describe economic activity accurately.

Part (a) - Indicative answer and marking guidance

Essential concepts. Households and firms exchange factors, incomes, goods and spending; S, T and M are leakages and I, G and X injections. Equilibrium accounting requires their totals to match.

Required reasoning. Households supply factors and receive income; firms sell output and receive expenditure, with each monetary flow having a real counterpart.

Expected diagram or calculation. Label households, firms and any specified government, financial or foreign sectors. Draw factor and goods flows with opposite money payments, label saving/taxes/imports as leakages and investment/government spending/exports as injections, and explain the particular causal route.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes circular flow from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Households supply factors and receive income; firms sell output and receive expenditure, with each monetary flow having a real counterpart.

Counterargument and conditions. The equality of leakages and injections is a flow-accounting equilibrium, not a claim that output is at potential.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 2

Medium | SL/HL | 25 marks

Topic 3.1: Circular flow

(a) [10] Using a circular-flow diagram, explain why saving is a leakage from the income flow.

(b) [15] Using real-world examples, evaluate whether higher household saving must reduce national income.

Part (a) - Indicative answer and marking guidance

Essential concepts. Households and firms exchange factors, incomes, goods and spending; S, T and M are leakages and I, G and X injections. Equilibrium accounting requires their totals to match.

Required reasoning. Saving withdraws current spending; the final income effect depends on investment and other injections.

Expected diagram or calculation. Label households, firms and any specified government, financial or foreign sectors. Draw factor and goods flows with opposite money payments, label saving/taxes/imports as leakages and investment/government spending/exports as injections, and explain the particular causal route.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes circular flow from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Saving withdraws current spending; the final income effect depends on investment and other injections.

Counterargument and conditions. The equality of leakages and injections is a flow-accounting equilibrium, not a claim that output is at potential.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 3

Hard | SL/HL | 25 marks

Topic 3.1: Circular flow

(a) [10] Using a circular-flow diagram, explain how government spending enters the circular flow.

(b) [15] Using real-world examples, discuss whether an increase in government spending necessarily increases national income.

Part (a) - Indicative answer and marking guidance

Essential concepts. Households and firms exchange factors, incomes, goods and spending; S, T and M are leakages and I, G and X injections. Equilibrium accounting requires their totals to match.

Required reasoning. Government spending injects expenditure, subject to tax, import and saving leakages and changes in private expenditure.

Expected diagram or calculation. Label households, firms and any specified government, financial or foreign sectors. Draw factor and goods flows with opposite money payments, label saving/taxes/imports as leakages and investment/government spending/exports as injections, and explain the particular causal route.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes circular flow from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Government spending injects expenditure, subject to tax, import and saving leakages and changes in private expenditure.

Counterargument and conditions. The equality of leakages and injections is a flow-accounting equilibrium, not a claim that output is at potential.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 4

Medium | SL/HL | 25 marks

Topic 3.1: Circular flow

(a) [10] Explain how taxation and government expenditure affect the circular flow of income.

(b) [15] Using real-world examples, evaluate whether a balanced change in taxes and spending leaves economic activity unchanged.

Part (a) - Indicative answer and marking guidance

Essential concepts. Households and firms exchange factors, incomes, goods and spending; S, T and M are leakages and I, G and X injections. Equilibrium accounting requires their totals to match.

Required reasoning. Taxation is a leakage and government spending an injection; different household responses can produce different net effects.

Expected diagram or calculation. If requested, show households, firms and relevant government/foreign/financial sectors, factor payments and expenditures, and clearly labelled leakages and injections.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes circular flow from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Taxation is a leakage and government spending an injection; different household responses can produce different net effects.

Counterargument and conditions. The equality of leakages and injections is a flow-accounting equilibrium, not a claim that output is at potential.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 5

Medium | SL/HL | 25 marks

Topic 3.1: Circular flow

(a) [10] Explain why imports are a leakage and exports an injection in an open economy.

(b) [15] Using real-world examples, discuss whether higher exports always raise domestic national income.

Part (a) - Indicative answer and marking guidance

Essential concepts. Households and firms exchange factors, incomes, goods and spending; S, T and M are leakages and I, G and X injections. Equilibrium accounting requires their totals to match.

Required reasoning. Imports direct spending abroad; exports create demand for domestic production, but import content and capacity matter.

Expected diagram or calculation. If requested, show households, firms and relevant government/foreign/financial sectors, factor payments and expenditures, and clearly labelled leakages and injections.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes circular flow from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Imports direct spending abroad; exports create demand for domestic production, but import content and capacity matter.

Counterargument and conditions. The equality of leakages and injections is a flow-accounting equilibrium, not a claim that output is at potential.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 6

Easy | SL/HL | 25 marks

Topic 3.1: Circular flow

(a) [10] Using a circular-flow diagram, explain how investment can offset household saving.

(b) [15] Using real-world examples, evaluate whether planned investment always equals planned saving.

Part (a) - Indicative answer and marking guidance

Essential concepts. Households and firms exchange factors, incomes, goods and spending; S, T and M are leakages and I, G and X injections. Equilibrium accounting requires their totals to match.

Required reasoning. Investment is an injection whereas saving is a leakage; ex post accounting equality need not mean intended flows initially coincide.

Expected diagram or calculation. Label households, firms and any specified government, financial or foreign sectors. Draw factor and goods flows with opposite money payments, label saving/taxes/imports as leakages and investment/government spending/exports as injections, and explain the particular causal route.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes circular flow from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Investment is an injection whereas saving is a leakage; ex post accounting equality need not mean intended flows initially coincide.

Counterargument and conditions. The equality of leakages and injections is a flow-accounting equilibrium, not a claim that output is at potential.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 7

Hard | SL/HL | 25 marks

Topic 3.1: Circular flow

(a) [10] Explain how the financial sector connects saving and investment in the circular flow.

(b) [15] Using real-world examples, discuss whether all household saving becomes domestic investment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Households and firms exchange factors, incomes, goods and spending; S, T and M are leakages and I, G and X injections. Equilibrium accounting requires their totals to match.

Required reasoning. Financial intermediaries channel funds but can finance government borrowing, foreign assets or idle balances.

Expected diagram or calculation. If requested, show households, firms and relevant government/foreign/financial sectors, factor payments and expenditures, and clearly labelled leakages and injections.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes circular flow from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Financial intermediaries channel funds but can finance government borrowing, foreign assets or idle balances.

Counterargument and conditions. The equality of leakages and injections is a flow-accounting equilibrium, not a claim that output is at potential.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 8

Medium | SL/HL | 25 marks

Topic 3.1: Circular flow

(a) [10] Using a circular-flow diagram, explain the roles of households, firms, government and the foreign sector.

(b) [15] Using real-world examples, evaluate whether changes in one sector's spending can be isolated from the rest of the economy.

Part (a) - Indicative answer and marking guidance

Essential concepts. Households and firms exchange factors, incomes, goods and spending; S, T and M are leakages and I, G and X injections. Equilibrium accounting requires their totals to match.

Required reasoning. Trace taxes, spending, imports and exports and the induced income feedback across sectors.

Expected diagram or calculation. Label households, firms and any specified government, financial or foreign sectors. Draw factor and goods flows with opposite money payments, label saving/taxes/imports as leakages and investment/government spending/exports as injections, and explain the particular causal route.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes circular flow from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Trace taxes, spending, imports and exports and the induced income feedback across sectors.

Counterargument and conditions. The equality of leakages and injections is a flow-accounting equilibrium, not a claim that output is at potential.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 9

Hard | SL/HL | 25 marks

Topic 3.1: Circular flow

(a) [10] Explain why total leakages and total injections are equal in a stable circular flow.

(b) [15] Using real-world examples, discuss whether an increase in leakages inevitably contracts output.

Part (a) - Indicative answer and marking guidance

Essential concepts. Households and firms exchange factors, incomes, goods and spending; S, T and M are leakages and I, G and X injections. Equilibrium accounting requires their totals to match.

Required reasoning. At equilibrium S+T+M=I+G+X; adjustment may occur through changed income or offsetting injections.

Expected diagram or calculation. If requested, show households, firms and relevant government/foreign/financial sectors, factor payments and expenditures, and clearly labelled leakages and injections.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes circular flow from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. At equilibrium S+T+M=I+G+X; adjustment may occur through changed income or offsetting injections.

Counterargument and conditions. The equality of leakages and injections is a flow-accounting equilibrium, not a claim that output is at potential.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 10

Medium | SL/HL | 25 marks

Topic 3.1: Circular flow

(a) [10] Explain how a rise in imports can affect domestic expenditure and national income.

(b) [15] Using real-world examples, evaluate whether an import surge always indicates weak domestic economic activity.

Part (a) - Indicative answer and marking guidance

Essential concepts. Households and firms exchange factors, incomes, goods and spending; S, T and M are leakages and I, G and X injections. Equilibrium accounting requires their totals to match.

Required reasoning. Imports remove expenditure from domestic output, but can rise alongside strong income or serve as production inputs.

Expected diagram or calculation. If requested, show households, firms and relevant government/foreign/financial sectors, factor payments and expenditures, and clearly labelled leakages and injections.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes circular flow from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Imports remove expenditure from domestic output, but can rise alongside strong income or serve as production inputs.

Counterargument and conditions. The equality of leakages and injections is a flow-accounting equilibrium, not a claim that output is at potential.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 11

Easy | SL/HL | 25 marks

Topic 3.1: Accounting approaches

(a) [10] Explain why the income, expenditure and output approaches should measure the same GDP.

(b) [15] Using real-world examples, discuss why published estimates from the three approaches may differ.

Part (a) - Indicative answer and marking guidance

Essential concepts. Income, output/value added and expenditure approaches represent the same current domestic production. GDP=C+I+G+(X-M), avoiding intermediate double counting.

Required reasoning. Each transaction generates output, factor income and final expenditure; timing and data error create discrepancies.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes accounting approaches from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Each transaction generates output, factor income and final expenditure; timing and data error create discrepancies.

Counterargument and conditions. Conceptual equality does not prevent statistical discrepancies, unreported production or difficult output valuation.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 12

Medium | SL/HL | 25 marks

Topic 3.1: Accounting approaches

(a) [10] Explain why intermediate goods are excluded when calculating GDP by the output approach.

(b) [15] Using real-world examples, evaluate whether a rise in intermediate sales alone shows higher final production.

Part (a) - Indicative answer and marking guidance

Essential concepts. Income, output/value added and expenditure approaches represent the same current domestic production. GDP=C+I+G+(X-M), avoiding intermediate double counting.

Required reasoning. Value added at each stage avoids double counting; intermediate spending is embedded in final output.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes accounting approaches from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Value added at each stage avoids double counting; intermediate spending is embedded in final output.

Counterargument and conditions. Conceptual equality does not prevent statistical discrepancies, unreported production or difficult output valuation.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 13

Hard | SL/HL | 25 marks

Topic 3.1: Accounting approaches

(a) [10] Explain how the expenditure approach counts final goods and services produced domestically.

(b) [15] Using real-world examples, discuss whether consumer spending alone is a reliable measure of GDP.

Part (a) - Indicative answer and marking guidance

Essential concepts. Income, output/value added and expenditure approaches represent the same current domestic production. GDP=C+I+G+(X-M), avoiding intermediate double counting.

Required reasoning. GDP=C+I+G+(X-M), with the conventional national accounts treatment of government purchases and imports.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes accounting approaches from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. GDP=C+I+G+(X-M), with the conventional national accounts treatment of government purchases and imports.

Counterargument and conditions. Conceptual equality does not prevent statistical discrepancies, unreported production or difficult output valuation.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 14

Medium | SL/HL | 25 marks

Topic 3.1: Accounting approaches

(a) [10] Explain why the expenditure approach deducts imports from total spending.

(b) [15] Using real-world examples, evaluate whether an increase in imports necessarily lowers measured GDP.

Part (a) - Indicative answer and marking guidance

Essential concepts. Income, output/value added and expenditure approaches represent the same current domestic production. GDP=C+I+G+(X-M), avoiding intermediate double counting.

Required reasoning. C, I and G can include imported goods, so M removes their foreign-produced portion; other spending may rise simultaneously.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes accounting approaches from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. C, I and G can include imported goods, so M removes their foreign-produced portion; other spending may rise simultaneously.

Counterargument and conditions. Conceptual equality does not prevent statistical discrepancies, unreported production or difficult output valuation.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 15

Medium | SL/HL | 25 marks

Topic 3.1: Accounting approaches

(a) [10] Explain how an increase in firms' inventories can enter measured GDP.

(b) [15] Using real-world examples, discuss whether higher inventories always signal a stronger economy.

Part (a) - Indicative answer and marking guidance

Essential concepts. Income, output/value added and expenditure approaches represent the same current domestic production. GDP=C+I+G+(X-M), avoiding intermediate double counting.

Required reasoning. Unsold production is counted as inventory investment, even if the accumulation was unplanned.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes accounting approaches from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Unsold production is counted as inventory investment, even if the accumulation was unplanned.

Counterargument and conditions. Conceptual equality does not prevent statistical discrepancies, unreported production or difficult output valuation.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 16

Easy | SL/HL | 25 marks

Topic 3.1: Accounting approaches

(a) [10] Explain why transfer payments are excluded from government purchases in GDP.

(b) [15] Using real-world examples, evaluate whether higher transfer payments can nevertheless affect output.

Part (a) - Indicative answer and marking guidance

Essential concepts. Income, output/value added and expenditure approaches represent the same current domestic production. GDP=C+I+G+(X-M), avoiding intermediate double counting.

Required reasoning. Transfers redistribute purchasing power rather than directly purchasing current production; induced consumption may later change GDP.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes accounting approaches from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Transfers redistribute purchasing power rather than directly purchasing current production; induced consumption may later change GDP.

Counterargument and conditions. Conceptual equality does not prevent statistical discrepancies, unreported production or difficult output valuation.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 17

Hard | SL/HL | 25 marks

Topic 3.1: Accounting approaches

(a) [10] Explain how the value-added approach avoids counting a manufactured good several times.

(b) [15] Using real-world examples, discuss whether gross sales are suitable for measuring national output.

Part (a) - Indicative answer and marking guidance

Essential concepts. Income, output/value added and expenditure approaches represent the same current domestic production. GDP=C+I+G+(X-M), avoiding intermediate double counting.

Required reasoning. Sum each producer's output value minus intermediate inputs and distinguish gross turnover from newly created value.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes accounting approaches from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Sum each producer's output value minus intermediate inputs and distinguish gross turnover from newly created value.

Counterargument and conditions. Conceptual equality does not prevent statistical discrepancies, unreported production or difficult output valuation.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 18

Medium | SL/HL | 25 marks

Topic 3.1: Accounting approaches

(a) [10] Explain how spending on a newly built home differs from a purchase of an existing home in national accounts.

(b) [15] Using real-world examples, evaluate whether housing transactions always increase current GDP.

Part (a) - Indicative answer and marking guidance

Essential concepts. Income, output/value added and expenditure approaches represent the same current domestic production. GDP=C+I+G+(X-M), avoiding intermediate double counting.

Required reasoning. New construction is current investment; resale of an existing asset is excluded apart from current services such as brokerage.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes accounting approaches from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. New construction is current investment; resale of an existing asset is excluded apart from current services such as brokerage.

Counterargument and conditions. Conceptual equality does not prevent statistical discrepancies, unreported production or difficult output valuation.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 19

Hard | SL/HL | 25 marks

Topic 3.1: GDP GNI

(a) [10] Explain the distinction between gross domestic product and gross national income.

(b) [15] Using real-world examples, discuss whether GDP or GNI better reflects residents' command over income.

Part (a) - Indicative answer and marking guidance

Essential concepts. GDP is production in the territory; GNI=GDP+net primary income from abroad. Transfer payments and many financial transactions are excluded from current production.

Required reasoning. GDP measures domestic production; GNI adds net primary income from abroad and can diverge in economies with substantial foreign ownership.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes gdp gni from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. GDP measures domestic production; GNI adds net primary income from abroad and can diverge in economies with substantial foreign ownership.

Counterargument and conditions. Only net primary income from abroad distinguishes GDP and GNI; remittances are not automatically factor income.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 20

Medium | SL/HL | 25 marks

Topic 3.1: GDP GNI

(a) [10] Explain why profits earned domestically by foreign-owned firms can create a difference between GDP and GNI.

(b) [15] Using real-world examples, evaluate whether a high GDP necessarily implies high resident income.

Part (a) - Indicative answer and marking guidance

Essential concepts. GDP is production in the territory; GNI=GDP+net primary income from abroad. Transfer payments and many financial transactions are excluded from current production.

Required reasoning. Domestic production counts in GDP; primary income paid to foreign owners reduces GNI relative to GDP.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes gdp gni from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Domestic production counts in GDP; primary income paid to foreign owners reduces GNI relative to GDP.

Counterargument and conditions. Only net primary income from abroad distinguishes GDP and GNI; remittances are not automatically factor income.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 21

Easy | SL/HL | 25 marks

Topic 3.1: GDP GNI

(a) [10] Explain how income earned abroad by resident workers can affect GNI relative to GDP.

(b) [15] Using real-world examples, discuss whether GNI always exceeds GDP in economies with many citizens working overseas.

Part (a) - Indicative answer and marking guidance

Essential concepts. GDP is production in the territory; GNI=GDP+net primary income from abroad. Transfer payments and many financial transactions are excluded from current production.

Required reasoning. Only eligible primary income received by residents enters the GNI adjustment; remittances are not automatically primary income.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes gdp gni from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Only eligible primary income received by residents enters the GNI adjustment; remittances are not automatically primary income.

Counterargument and conditions. Only net primary income from abroad distinguishes GDP and GNI; remittances are not automatically factor income.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 22

Medium | SL/HL | 25 marks

Topic 3.1: GDP GNI

(a) [10] Given C=400, I=120, G=150, X=90 and M=110 (billions), calculate nominal GDP and explain the role of net exports.

(b) [15] Using real-world examples, evaluate whether rising nominal GDP proves that production volume has risen.

Part (a) - Indicative answer and marking guidance

Essential concepts. GDP is production in the territory; GNI=GDP+net primary income from abroad. Transfer payments and many financial transactions are excluded from current production.

Required reasoning. GDP=400+120+150+90-110=650; nominal growth may reflect price increases rather than more output.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes gdp gni from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. GDP=400+120+150+90-110=650; nominal growth may reflect price increases rather than more output.

Counterargument and conditions. Only net primary income from abroad distinguishes GDP and GNI; remittances are not automatically factor income.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 23

Hard | SL/HL | 25 marks

Topic 3.1: GDP GNI

(a) [10] Given GDP of 900 billion and net primary income from abroad of -45 billion, calculate GNI and explain the difference.

(b) [15] Using real-world examples, discuss whether GDP is the best output measure for a country with substantial foreign-owned production.

Part (a) - Indicative answer and marking guidance

Essential concepts. GDP is production in the territory; GNI=GDP+net primary income from abroad. Transfer payments and many financial transactions are excluded from current production.

Required reasoning. GNI=855 billion; resident income is below production on domestic territory by 45 billion.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes gdp gni from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. GNI=855 billion; resident income is below production on domestic territory by 45 billion.

Counterargument and conditions. Only net primary income from abroad distinguishes GDP and GNI; remittances are not automatically factor income.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 24

Medium | SL/HL | 25 marks

Topic 3.1: GDP GNI

(a) [10] Explain why services supplied by a government can count in GDP despite lacking a market selling price.

(b) [15] Using real-world examples, evaluate whether national accounts capture the full value of public services.

Part (a) - Indicative answer and marking guidance

Essential concepts. GDP is production in the territory; GNI=GDP+net primary income from abroad. Transfer payments and many financial transactions are excluded from current production.

Required reasoning. Non-market output is usually valued by production costs; social value and service quality may differ.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes gdp gni from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Non-market output is usually valued by production costs; social value and service quality may differ.

Counterargument and conditions. Only net primary income from abroad distinguishes GDP and GNI; remittances are not automatically factor income.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 25

Medium | SL/HL | 25 marks

Topic 3.1: GDP GNI

(a) [10] Explain why unpaid household work is usually absent from measured GDP.

(b) [15] Using real-world examples, discuss whether GDP comparisons are affected by differences in unpaid work.

Part (a) - Indicative answer and marking guidance

Essential concepts. GDP is production in the territory; GNI=GDP+net primary income from abroad. Transfer payments and many financial transactions are excluded from current production.

Required reasoning. Without a recorded market transaction unpaid work is omitted, though identical paid services are included.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes gdp gni from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Without a recorded market transaction unpaid work is omitted, though identical paid services are included.

Counterargument and conditions. Only net primary income from abroad distinguishes GDP and GNI; remittances are not automatically factor income.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 26

Easy | SL/HL | 25 marks

Topic 3.1: Prices and real output

(a) [10] Explain why an increase in nominal GDP may differ from an increase in real GDP.

(b) [15] Using real-world examples, evaluate whether nominal GDP growth is a useful indicator of improved economic well-being.

Part (a) - Indicative answer and marking guidance

Essential concepts. Nominal measures use current prices; real measure=nominal/deflator*100 for base 100. Distinguish price changes from volume changes.

Required reasoning. Nominal GDP uses current prices; real GDP adjusts for the price level and still omits non-output aspects of welfare.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes prices and real output from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Nominal GDP uses current prices; real GDP adjusts for the price level and still omits non-output aspects of welfare.

Counterargument and conditions. The deflator changes a nominal figure into a volume measure, but revisions and base-year changes can affect comparisons.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 27

Hard | SL/HL | 25 marks

Topic 3.1: Prices and real output

(a) [10] Given nominal GDP of 1,260 billion and a GDP deflator of 105 (base 100), calculate real GDP and explain why it differs from nominal GDP.

(b) [15] Using real-world examples, discuss whether the GDP deflator is sufficient to compare living standards over time.

Part (a) - Indicative answer and marking guidance

Essential concepts. Nominal measures use current prices; real measure=nominal/deflator*100 for base 100. Distinguish price changes from volume changes.

Required reasoning. Real GDP=1260/105*100=1200 billion in base-year prices; per-person and distributional changes remain relevant.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes prices and real output from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Real GDP=1260/105*100=1200 billion in base-year prices; per-person and distributional changes remain relevant.

Counterargument and conditions. The deflator changes a nominal figure into a volume measure, but revisions and base-year changes can affect comparisons.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 28

Medium | SL/HL | 25 marks

Topic 3.1: Prices and real output

(a) [10] Given nominal GNI of 800 billion and a price deflator of 125 (base 100), calculate real GNI and explain why price changes must be removed.

(b) [15] Using real-world examples, evaluate whether higher real GNI necessarily improves all residents' living standards.

Part (a) - Indicative answer and marking guidance

Essential concepts. Nominal measures use current prices; real measure=nominal/deflator*100 for base 100. Distinguish price changes from volume changes.

Required reasoning. Real GNI=640 billion in base-year prices; distribution and population may offset aggregate gains.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes prices and real output from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Real GNI=640 billion in base-year prices; distribution and population may offset aggregate gains.

Counterargument and conditions. The deflator changes a nominal figure into a volume measure, but revisions and base-year changes can affect comparisons.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 29

Hard | SL/HL | 25 marks

Topic 3.1: Prices and real output

(a) [10] Explain why using the same price base matters when comparing real GDP in two years.

(b) [15] Using real-world examples, discuss whether an apparent jump in GDP across a statistical rebasing represents new output.

Part (a) - Indicative answer and marking guidance

Essential concepts. Nominal measures use current prices; real measure=nominal/deflator*100 for base 100. Distinguish price changes from volume changes.

Required reasoning. A consistent deflator removes price-level changes; rebasing or revisions can alter measured series without equivalent physical changes.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes prices and real output from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A consistent deflator removes price-level changes; rebasing or revisions can alter measured series without equivalent physical changes.

Counterargument and conditions. The deflator changes a nominal figure into a volume measure, but revisions and base-year changes can affect comparisons.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 30

Medium | SL/HL | 25 marks

Topic 3.1: Prices and real output

(a) [10] Explain why a rise in the GDP deflator can occur while real output falls.

(b) [15] Using real-world examples, evaluate whether a growing nominal economy must be expanding in real terms.

Part (a) - Indicative answer and marking guidance

Essential concepts. Nominal measures use current prices; real measure=nominal/deflator*100 for base 100. Distinguish price changes from volume changes.

Required reasoning. A sufficiently large increase in the price level can raise nominal GDP as volume declines.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes prices and real output from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A sufficiently large increase in the price level can raise nominal GDP as volume declines.

Counterargument and conditions. The deflator changes a nominal figure into a volume measure, but revisions and base-year changes can affect comparisons.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 31

Easy | SL/HL | 25 marks

Topic 3.1: Per capita PPP

(a) [10] Explain how real GDP per capita differs from aggregate real GDP.

(b) [15] Using real-world examples, discuss whether a larger economy necessarily has a higher average standard of living.

Part (a) - Indicative answer and marking guidance

Essential concepts. Divide real GDP or GNI by population; PPP adjusts comparisons for different national price levels. Averages do not reveal inequality.

Required reasoning. Divide real GDP by population; total size and average production per person answer different questions.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes per capita ppp from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Divide real GDP by population; total size and average production per person answer different questions.

Counterargument and conditions. PPP and per-person averages do not reveal distribution or the quality of public services.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 32

Medium | SL/HL | 25 marks

Topic 3.1: Per capita PPP

(a) [10] Given real GDP of 2.4 trillion and a population of 60 million, calculate real GDP per capita and explain its interpretation as an average.

(b) [15] Using real-world examples, evaluate whether growth in real GDP per capita ensures a reduction in poverty.

Part (a) - Indicative answer and marking guidance

Essential concepts. Divide real GDP or GNI by population; PPP adjusts comparisons for different national price levels. Averages do not reveal inequality.

Required reasoning. Real GDP per capita is 40,000; it is an average and may coexist with unchanged or rising poverty.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes per capita ppp from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Real GDP per capita is 40,000; it is an average and may coexist with unchanged or rising poverty.

Counterargument and conditions. PPP and per-person averages do not reveal distribution or the quality of public services.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 33

Hard | SL/HL | 25 marks

Topic 3.1: Per capita PPP

(a) [10] Explain how purchasing power parity improves comparisons of real income per person across countries.

(b) [15] Using real-world examples, discuss whether PPP-adjusted GDP per capita ranks countries' well-being accurately.

Part (a) - Indicative answer and marking guidance

Essential concepts. Divide real GDP or GNI by population; PPP adjusts comparisons for different national price levels. Averages do not reveal inequality.

Required reasoning. PPP adjusts for local price levels; it does not capture distribution, non-market activity or all aspects of welfare.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes per capita ppp from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. PPP adjusts for local price levels; it does not capture distribution, non-market activity or all aspects of welfare.

Counterargument and conditions. PPP and per-person averages do not reveal distribution or the quality of public services.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 34

Medium | SL/HL | 25 marks

Topic 3.1: Per capita PPP

(a) [10] Explain why market exchange rates can distort comparisons of income across countries.

(b) [15] Using real-world examples, evaluate whether PPP adjustment eliminates every difficulty in comparing living standards.

Part (a) - Indicative answer and marking guidance

Essential concepts. Divide real GDP or GNI by population; PPP adjusts comparisons for different national price levels. Averages do not reveal inequality.

Required reasoning. Exchange rates need not reflect domestic purchasing power; PPP uses comparable baskets with data and quality limits.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes per capita ppp from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Exchange rates need not reflect domestic purchasing power; PPP uses comparable baskets with data and quality limits.

Counterargument and conditions. PPP and per-person averages do not reveal distribution or the quality of public services.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 35

Medium | SL/HL | 25 marks

Topic 3.1: Per capita PPP

(a) [10] Explain why real GNI per capita at PPP can differ from real GDP per capita at PPP.

(b) [15] Using real-world examples, discuss which measure is more suitable for comparing residents' average material income.

Part (a) - Indicative answer and marking guidance

Essential concepts. Divide real GDP or GNI by population; PPP adjusts comparisons for different national price levels. Averages do not reveal inequality.

Required reasoning. GNI adjusts for net primary income abroad while both divide by population and account for price-level differences.

Expected diagram or calculation. Show formula, substitution, units and interpretation for the requested calculation. Where a diagram is not requested, give a causal explanation; do not require extra arithmetic beyond the stated data.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes per capita ppp from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. GNI adjusts for net primary income abroad while both divide by population and account for price-level differences.

Counterargument and conditions. PPP and per-person averages do not reveal distribution or the quality of public services.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 36

Easy | SL/HL | 25 marks

Topic 3.1: Business cycle

(a) [10] Using a business-cycle diagram, explain the difference between short-term fluctuations and potential-output growth.

(b) [15] Using real-world examples, evaluate whether short-term recovery always indicates higher long-term productive capacity.

Part (a) - Indicative answer and marking guidance

Essential concepts. Actual output fluctuates around a long-term trend in potential output, with peaks, troughs, recovery and output gaps.

Required reasoning. Actual output oscillates around a trend, while trend growth reflects potential; a rebound may only close an output gap.

Expected diagram or calculation. Real GDP vertically, time horizontally, actual output fluctuating around an upward potential-output trend. Label a peak/trough, recovery or actual-potential gap as requested; distinguish a rising level from a positive output gap.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes business cycle from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Actual output oscillates around a trend, while trend growth reflects potential; a rebound may only close an output gap.

Counterargument and conditions. Potential output is estimated and can shift during a prolonged downturn.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 37

Hard | SL/HL | 25 marks

Topic 3.1: Business cycle

(a) [10] Using a business-cycle diagram, explain how a peak differs from a trough.

(b) [15] Using real-world examples, discuss whether a business-cycle peak always means the economy is at full employment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Actual output fluctuates around a long-term trend in potential output, with peaks, troughs, recovery and output gaps.

Required reasoning. Peak and trough are local turning points in actual output; potential output can lie above or below observed output.

Expected diagram or calculation. Real GDP vertically, time horizontally, actual output fluctuating around an upward potential-output trend. Label a peak/trough, recovery or actual-potential gap as requested; distinguish a rising level from a positive output gap.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes business cycle from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Peak and trough are local turning points in actual output; potential output can lie above or below observed output.

Counterargument and conditions. Potential output is estimated and can shift during a prolonged downturn.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 38

Medium | SL/HL | 25 marks

Topic 3.1: Business cycle

(a) [10] Explain how a contraction can reduce real output without reversing long-term growth in potential output.

(b) [15] Using real-world examples, evaluate whether a recession must permanently reduce productive capacity.

Part (a) - Indicative answer and marking guidance

Essential concepts. Actual output fluctuates around a long-term trend in potential output, with peaks, troughs, recovery and output gaps.

Required reasoning. Actual output can fall below an upward trend; persistent investment or employment damage may later impair potential.

Expected diagram or calculation. If requested, label real output and time, actual fluctuations, upward potential-output trend, and the particular gap or turning point.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes business cycle from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Actual output can fall below an upward trend; persistent investment or employment damage may later impair potential.

Counterargument and conditions. Potential output is estimated and can shift during a prolonged downturn.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 39

Hard | SL/HL | 25 marks

Topic 3.1: Business cycle

(a) [10] Using a business-cycle diagram, explain the meaning of a recovery following a trough.

(b) [15] Using real-world examples, discuss whether growth during recovery necessarily returns output to its earlier trend.

Part (a) - Indicative answer and marking guidance

Essential concepts. Actual output fluctuates around a long-term trend in potential output, with peaks, troughs, recovery and output gaps.

Required reasoning. Growth resumes after a trough, but an output shortfall may persist until actual output catches up with potential.

Expected diagram or calculation. Real GDP vertically, time horizontally, actual output fluctuating around an upward potential-output trend. Label a peak/trough, recovery or actual-potential gap as requested; distinguish a rising level from a positive output gap.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes business cycle from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Growth resumes after a trough, but an output shortfall may persist until actual output catches up with potential.

Counterargument and conditions. Potential output is estimated and can shift during a prolonged downturn.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 40

Medium | SL/HL | 25 marks

Topic 3.1: Business cycle

(a) [10] Explain why a sustained expansion may eventually create pressure on productive capacity.

(b) [15] Using real-world examples, evaluate whether every prolonged expansion must be followed by a recession.

Part (a) - Indicative answer and marking guidance

Essential concepts. Actual output fluctuates around a long-term trend in potential output, with peaks, troughs, recovery and output gaps.

Required reasoning. Actual growth can reduce spare capacity; potential growth and shocks affect whether constraints bind.

Expected diagram or calculation. If requested, label real output and time, actual fluctuations, upward potential-output trend, and the particular gap or turning point.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes business cycle from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Actual growth can reduce spare capacity; potential growth and shocks affect whether constraints bind.

Counterargument and conditions. Potential output is estimated and can shift during a prolonged downturn.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 41

Easy | SL/HL | 25 marks

Topic 3.1: Business cycle

(a) [10] Explain the difference between an output gap and a fall in actual output on a business-cycle diagram.

(b) [15] Using real-world examples, discuss whether a positive annual growth rate rules out a recessionary gap.

Part (a) - Indicative answer and marking guidance

Essential concepts. Actual output fluctuates around a long-term trend in potential output, with peaks, troughs, recovery and output gaps.

Required reasoning. A gap compares actual with potential output levels; output may rise while remaining below potential.

Expected diagram or calculation. Real GDP vertically, time horizontally, actual output fluctuating around an upward potential-output trend. Label a peak/trough, recovery or actual-potential gap as requested; distinguish a rising level from a positive output gap.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes business cycle from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. A gap compares actual with potential output levels; output may rise while remaining below potential.

Counterargument and conditions. Potential output is estimated and can shift during a prolonged downturn.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 42

Medium | SL/HL | 25 marks

Topic 3.1: Well-being

(a) [10] Explain two reasons why GDP per capita may overstate economic well-being.

(b) [15] Using real-world examples, evaluate whether higher GDP per capita is sufficient evidence of improved welfare.

Part (a) - Indicative answer and marking guidance

Essential concepts. National-income measures omit distribution, unpaid work, leisure and environmental harm; real per capita measures are more useful than nominal aggregates for many comparisons.

Required reasoning. The average ignores unequal income and external costs, so gains need not improve typical living conditions.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes well-being from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. The average ignores unequal income and external costs, so gains need not improve typical living conditions.

Counterargument and conditions. GDP remains useful for measuring market production, even when it omits some welfare effects.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 43

Hard | SL/HL | 25 marks

Topic 3.1: Well-being

(a) [10] Explain why changes in income distribution affect the usefulness of GDP per capita as a welfare measure.

(b) [15] Using real-world examples, discuss whether an increase in average income benefits most households.

Part (a) - Indicative answer and marking guidance

Essential concepts. National-income measures omit distribution, unpaid work, leisure and environmental harm; real per capita measures are more useful than nominal aggregates for many comparisons.

Required reasoning. The mean can rise while lower income groups gain little; distributional evidence is needed.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes well-being from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. The mean can rise while lower income groups gain little; distributional evidence is needed.

Counterargument and conditions. GDP remains useful for measuring market production, even when it omits some welfare effects.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 44

Medium | SL/HL | 25 marks

Topic 3.1: Well-being

(a) [10] Explain why environmental damage may accompany growth in measured GDP.

(b) [15] Using real-world examples, evaluate whether GDP growth can still improve economic well-being when pollution rises.

Part (a) - Indicative answer and marking guidance

Essential concepts. National-income measures omit distribution, unpaid work, leisure and environmental harm; real per capita measures are more useful than nominal aggregates for many comparisons.

Required reasoning. Market output increases GDP while some environmental losses are unpriced; net welfare depends on benefits and harms.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes well-being from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Market output increases GDP while some environmental losses are unpriced; net welfare depends on benefits and harms.

Counterargument and conditions. GDP remains useful for measuring market production, even when it omits some welfare effects.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 45

Medium | SL/HL | 25 marks

Topic 3.1: Well-being

(a) [10] Explain how changes in leisure and unpaid work can complicate GDP-based welfare comparisons.

(b) [15] Using real-world examples, discuss whether longer working hours necessarily increase well-being when output rises.

Part (a) - Indicative answer and marking guidance

Essential concepts. National-income measures omit distribution, unpaid work, leisure and environmental harm; real per capita measures are more useful than nominal aggregates for many comparisons.

Required reasoning. Extra paid production can raise GDP yet reduce leisure; unpaid production is generally unrecorded.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes well-being from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Extra paid production can raise GDP yet reduce leisure; unpaid production is generally unrecorded.

Counterargument and conditions. GDP remains useful for measuring market production, even when it omits some welfare effects.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 46

Easy | SL/HL | 25 marks

Topic 3.1: Well-being

(a) [10] Explain why GDP comparisons over time should use real rather than nominal values.

(b) [15] Using real-world examples, evaluate whether real GDP growth by itself demonstrates an improvement in quality of life.

Part (a) - Indicative answer and marking guidance

Essential concepts. National-income measures omit distribution, unpaid work, leisure and environmental harm; real per capita measures are more useful than nominal aggregates for many comparisons.

Required reasoning. Deflation removes price changes, but population, inequality and non-market outcomes still matter.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes well-being from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Deflation removes price changes, but population, inequality and non-market outcomes still matter.

Counterargument and conditions. GDP remains useful for measuring market production, even when it omits some welfare effects.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 47

Hard | SL/HL | 25 marks

Topic 3.1: Well-being

(a) [10] Explain why GDP or GNI per capita may be preferable to aggregate national income when comparing countries.

(b) [15] Using real-world examples, discuss whether per-person income is a complete measure of economic well-being.

Part (a) - Indicative answer and marking guidance

Essential concepts. National-income measures omit distribution, unpaid work, leisure and environmental harm; real per capita measures are more useful than nominal aggregates for many comparisons.

Required reasoning. Population adjustment makes averages comparable but conceals dispersion and non-income dimensions.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes well-being from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Population adjustment makes averages comparable but conceals dispersion and non-income dimensions.

Counterargument and conditions. GDP remains useful for measuring market production, even when it omits some welfare effects.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 48

Medium | SL/HL | 25 marks

Topic 3.1: Alternative indices

(a) [10] Explain why the OECD Better Life Index uses several indicators rather than GDP alone.

(b) [15] Using real-world examples, evaluate whether a multidimensional index is necessarily superior to GDP per capita.

Part (a) - Indicative answer and marking guidance

Essential concepts. OECD Better Life Index, happiness indices and Happy Planet Index address non-income dimensions with methodological choices.

Required reasoning. The index captures non-income dimensions but indicator selection and weights involve judgments.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes alternative indices from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. The index captures non-income dimensions but indicator selection and weights involve judgments.

Counterargument and conditions. Indicator choice, weights and survey comparability can alter well-being rankings.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 49

Hard | SL/HL | 25 marks

Topic 3.1: Alternative indices

(a) [10] Explain how a happiness measure can add information to national-income statistics.

(b) [15] Using real-world examples, discuss whether reported happiness should replace GDP in assessing well-being.

Part (a) - Indicative answer and marking guidance

Essential concepts. OECD Better Life Index, happiness indices and Happy Planet Index address non-income dimensions with methodological choices.

Required reasoning. Subjective life evaluation may capture unpriced aspects, while culture and survey wording affect comparisons.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes alternative indices from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Subjective life evaluation may capture unpriced aspects, while culture and survey wording affect comparisons.

Counterargument and conditions. Indicator choice, weights and survey comparability can alter well-being rankings.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 50

Medium | SL/HL | 25 marks

Topic 3.1: Alternative indices

(a) [10] Explain what the Happy Planet Index adds to a comparison of economic well-being.

(b) [15] Using real-world examples, evaluate whether a high output economy is necessarily environmentally sustainable.

Part (a) - Indicative answer and marking guidance

Essential concepts. OECD Better Life Index, happiness indices and Happy Planet Index address non-income dimensions with methodological choices.

Required reasoning. The index links well-being and longevity with ecological footprint; definitions and weights matter.

Expected diagram or calculation. Where the question asks for a diagram, label the relevant AD, SRAS, LRAS or Keynesian AS curves (or PPC/labour market as stated), both equilibria and the direction of the shift; distinguish price level from inflation rate and actual from potential output.

Common misconceptions. Distinguish a change in an aggregate from its rate of change, a level from a percentage, and correlation from causation. Avoid introducing unscheduled content as a required part of a shared SL/HL answer. For this question, check specifically that the student distinguishes alternative indices from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. The index links well-being and longevity with ecological footprint; definitions and weights matter.

Counterargument and conditions. Indicator choice, weights and survey comparability can alter well-being rankings.

Application and real-world example. For real-world application, compare World Bank real GDP per capita at PPP with OECD Better Life Index dimensions for a named country and period. Credit other relevant and accurately explained cases.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Sources and scope

The current IB Economics guide controls syllabus boundaries. The uploaded Economics for the IB Diploma, second edition (2012), is a supplementary conceptual check; its older chapter sequence and content cannot expand the current specification. Real-world examples are optional and should be checked against their cited sources.

IB guide. Economics guide, first assessment 2022, Unit 3 Topic 3.1; current syllabus scope and level boundaries.

Open source

WDI. GDP per capita adjusted for purchasing power and price changes.

Open source

OECD. Better Life Index dimensions and method.

Open source

Final checks

50 paired questions; 10 Easy, 25 Medium, 15 Hard; All 50 questions cover SL and HL content. The student paper contains no answers or difficulty labels.